

Business Ethics and Government Influence

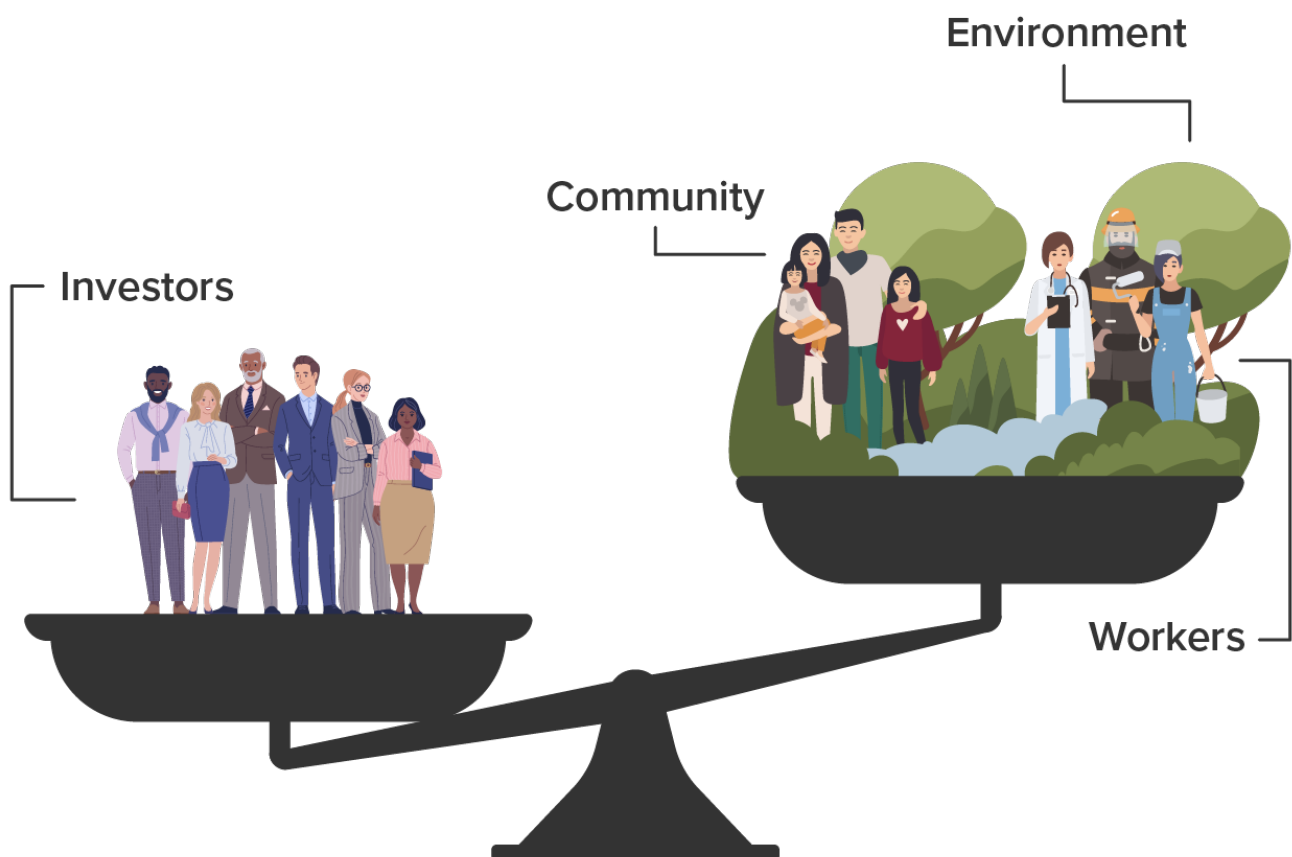
by Sophia



WHAT'S COVERED

In this lesson, you will learn how business ethics has been impacted by government over time, particularly in the U.S. In particular, you will learn about:

1. Shareholder Primacy



The pressure to pay profits to investors often outweighs other concerns like workers, community, and the environment.

While corporations like the British East India Company were a powerful part of the mercantile era, the rise of the modern corporation began in the 1800s and is intertwined with the industrial revolution. Industry required capital—money for machinery, buildings, labor, and materials—and promised profits. Anybody with some extra money could buy stock in a company and stand to benefit from its profits. While an investor might also suffer its losses, they were protected from losing anything more than their investment. During the rise of capitalism in the United States, most owners sought only to maximize profits, because that was the primary basis of their ability to attract capital and to reinvest in the company. Most investors were interested in a healthy return on their investment, rather than any type of social good.

This has led to ongoing debate about whether, in fact, a corporation owes a duty to society or only to its shareholders, and government has played a large role in shaping that debate. The line of important court cases shaping this issue spans almost a century and includes a series of landmark cases involving the Ford Motor Company, the Wrigley Company, and Hobby Lobby.

In *Dodge v. Ford Motor Company* (1919), the Michigan Supreme Court ruled that founder Henry Ford must operate the Ford Motor Company primarily in the profit-maximizing interests of its shareholders. Ford had announced that his company would stop paying big dividends to shareholders and instead would use its profits to achieve several other goals, including improving product quality, expanding company facilities, and perhaps most surprisingly, lowering prices. Investors—specifically, the Dodge brothers—then sued Ford, asking the court to order Ford Motor Company to continue allocating the lion's share of profits to high dividend payments. (The Dodge family named in the lawsuit refers to the family that subsequently started the rival car company, but at the time, they were investors, not competitors.)

At the trial, Ford testified that he believed his company was sufficiently profitable to consider its broader obligation and engage in activities to benefit the public, including its workers and customers. This was a unique position for the founder and primary owner of a large corporation to take in the early twentieth century. The courts decided against him, cementing the concept of **shareholder primacy**, meaning that paying profits to investors should be the first concern of incorporated businesses.

The government oversight of corporate responsibility has followed a long and winding road since 1919. In the 1950s and 1960s, for example, some state courts rejected the shareholder primacy doctrine, instead ruling that a broad interpretation of the business judgment rule allowed managers discretion when it came to allocating company assets, including using them for programs demonstrating social awareness.

In 1968, in a highly publicized case, the court ruled that the board of directors of the Wrigley Company, of baseball and chewing gum fame, had a significant amount of discretion in determining how to balance the interests of stakeholders. The case of *Shlensky v. Wrigley* (1968) revolved around William Wrigley Jr.'s ownership of the Chicago Cubs. The baseball team had steadfastly refused to install the lights necessary for playing night games at Wrigley Field, even though every other stadium in major league baseball had lights. Instead, the Cubs had respected the local community's belief that night baseball games and their associated lights would negatively affect the surrounding neighborhood, creating more opportunities for crime. In the view of some investors, however, the Cubs' decision was depressing profits for shareholders. The shareholders brought a challenge against the Wrigley Company, but the Cubs' owners won the case.

The Wrigley case represented a shift from the idea that corporations should pursue only the maximization of shareholder value, as had been held in the Ford Motor Company case. As a follow-up to this case, lights were finally installed at Wrigley Field in 1988, but only after the owner, William Wrigley III, had sold the team (in 1981) to the Tribune Company, a large media conglomerate that fought for six years to install lights. However, the case stands as precedent for the ability of management to balance various interests and profits when making decisions.



Shareholder Primacy

The principle, codified in law in 1919 but since weakened, that corporations make profits for investors their top priority.

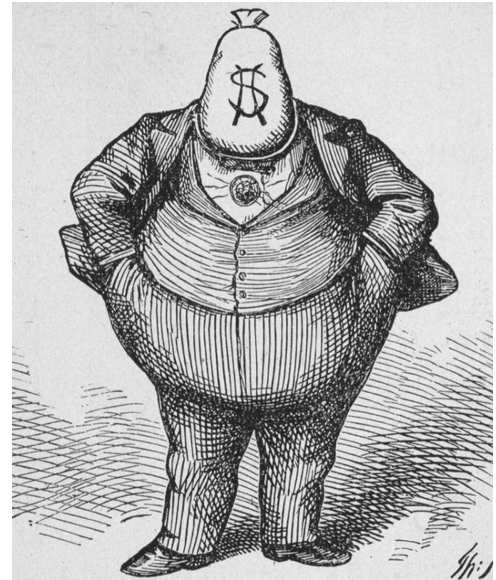
2. Corporate Personhood

While the 1919 case against Ford Motor Company upheld shareholder primacy, the court also enshrined a crucial concept in their favor, the **business judgment rule**, a common-law principle stating that officers, directors, and managers of a corporation can't be sued by investors for losing money when the evidence shows that decisions were reasonable and made in good faith. Essentially, the business judgment rule holds that a court will not second-guess the decisions of a company's managers or directors as long as there is no obvious corruption. This gives corporate management some autonomy in deciding how to run the company, and somewhat keeps shareholder primacy in check. By mid-century and the case of *Shlensky v. Wrigley* (1968), the courts had given boards of directors and management more latitude in determining how to balance the interests of investors with other stakeholders.

This autonomy is closely connected to a second legal concept, that of **corporate personhood**. As a legal entity, a corporation becomes independent and separate from its shareholders and even its employees; it pays taxes and bears legal responsibilities. Along with this responsibility comes the question of rights. Corporate personhood asserts that just as a corporation has the legal responsibilities of an individual, it has the legal rights of an individual such as freedom of speech and even freedom of religion.

The origin of corporate personhood begins, ironically, with the 14th Amendment. The amendment was adopted in 1868 to give full citizenship to emancipated slaves. "No State shall make or enforce any law which shall abridge the privileges or immunities of citizens of the United States; nor shall any State deprive any person of life, liberty, or property, without due process of law; nor deny to any person within its jurisdiction the equal protection of the laws." A few years later, the Southern Pacific Railroad argued that corporations were also covered by the amendment (Torres-Spelliscy, 2014). For the next century, legal scholars and dissenting Supreme Court justices have questioned the validity of granting corporations personhood, but the precedent has been upheld and strengthened.

Recent Supreme Court decisions like *Citizens United vs. Federal Elections Commission* and *Burwell vs. Hobby Lobby* have further empowered corporations, treating businesses as individuals with the same slate of rights to freedom of speech and religious expression. In the case of *Citizens United* (2010), the Supreme Court overrode a century-old law that prevented corporations from funding political elections. In the case of *Hobby Lobby*, the Supreme Court decided that a privately owned company could be exempt from part of the Affordable Care Act in 2014 for religious reasons. Both were controversial decisions.



Thomas Nast's 1971 caricature of corrupt politician Boss Tweed serves as a critique of the era.



“Corporations are people, my friend.” Mitt Romney’s words went viral in a video in the 2012 election and helped sink his campaign. But the dictionary definition of a corporation is “a group of people recognized legally as a single individual.” To what extent do you agree with Romney? Do corporations have the same rights as individuals, including freedom of speech and freedom of religion?



TERMS TO KNOW

Business Judgment Rule

A principle that officers, directors, and managers of a corporation can’t be sued for losing money for investors as long as their decisions were made reasonably and in good faith.

Corporate Personhood

A principle that corporations enjoy the same rights protected by the U.S. Constitution as individuals.



SUMMARY

In this lesson, you learned how the government has shaped ethics in the U.S., particularly regarding two legal concepts. **Shareholder primacy**, affirmed in the case of *Dodge v. Ford Motor Company*, actually mandated that corporations prioritize profits for investors over other stakeholders such as workers, though also granting that companies could not be sued by investors if they were managed in good faith. Since then, corporations have increasingly been granted **corporate personhood**, the concept that corporations have legal rights and responsibilities similar to individuals—notably the freedom of expression, which allows corporations to fund political candidates and campaigns, and freedom of religion, which allows owners of some corporations to be exempt from some laws.

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